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Alibaba Group Holding (BABA.N)

Apsara Conference 2026 Takeaways (2) - Agentic Leap in AI Models, Chips and Cloud

CITI'S TAKE

Apsara 2026 morning session on Day 1 showcased Alibaba's accelerating AI momentum across chips, cloud, foundation models and multimodal applications, reinforcing its strategy of building a vertically integrated AI ecosystem for the agentic era. New Zhenwu chip roadmaps, scaling Lingjun supernodes and continued Qwen model upgrades should further strengthen its competitive positioning. At the afternoon MaaS & Agent Forum, management disclosed MaaS ARR reached RMB20bn in September versus RMB16/8bn in August/May. Although no new year-end target revision was provided, we believe based on current growth trajectory, it's highly likely Alibaba could exceed its existing RMB30bn ARR target by year-end. See also [CEO's 20GW comment](#) earlier.

T-Head's new chips - T-Head unveiled **Zhenwu V900**, reinforcing its push into the inference-centric AI era, where multi-step orchestration and system-level co-design are becoming increasingly critical. AliCloud's **Lingjun Supernode GP9A**, powered by current-generation Zhenwu M890, is now in service and is claimed to be China's first AI supernode capable of supporting models with >2trn parameters, including Qwen3.8-Max and Kimi K3. T-Head also open-sourced the core components of its **SAIL SDK**, enabling native support across major AI frameworks with minimal code modifications and further strengthening ecosystem synergies. To date, Zhenwu platform has served >650 customers across autonomous driving, financial services, foundation models, humanoid robotics, and other enterprise verticals. Looking ahead, Zhenwu V900 is expected to enter volume production in 1Q27, delivering ~3x the performance of M890 while featuring 216GB of on-chip memory, 1.2TB/s inter-chip interconnect bandwidth, and supporting FP8/FP4 low-precision computing. The next-generation **Zhenwu J900** is targeted for production by 3Q28. T-Head also plans to launch its new **Panjiu Supernode Server** in 1Q27, while next-generation Yitian CPUs, including **Yitian 720/730** series, are expected by 3Q27, followed by **Yitian 750**, which will support ICNLink integration with Zhenwu accelerators.

Production-ready agentic cloud - AliCloud is building an **AI-native cloud** architecture optimized for agentic era, combining Lingjun Supernodes (targeting 500,000 GPUs), CPFS storage and HPN 8.0 Pro networking to support foundation model training and agentic RL. PAI enables Qwen flagship model post-training in as little as five days at throughput of 45,000 tokens/s. The **Agent Native Cloud** platform delivers a full-stack framework deploying and governing agent applications at scale.

Buy

Short-Term View: Upside, expires 18-OCT-26

Price (21 Sep 26 16:00)	US\$115.75
Target price	US\$190.00
Expected share price return	64.1%
Expected dividend yield	1.7%
Expected total return	65.9%
Market Cap	US\$287,711M

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LLM in the agentic era – As AI evolves beyond chatbots and reasoning models toward autonomous agents, token demand is accelerating rapidly. Qwen's strategy focuses on two priorities: advancing frontier intelligence through flagship **Qwen-Max** and expanding AI accessibility through cost-efficient models including **Qwen-Flash**, **Qwen-Plus**, **Qwen-27B**. Alibaba outlined four key pillars for the agentic era: **(1) real-world production and RSI acceleration**, with Qwen3.8-Max delivering 8.5x higher revenue generation and 12x greater token consumption versus Qwen3.7, driven by stronger capabilities in software engineering, professional workflows, domain expertise. Alibaba highlighted progress toward Recursive Self-Improvement (RSI), where continuous operational feedback and iterative post-training enhance model performance. **(2) Architecture and efficiency upgrades**, including Qwen3.8-Flash-Next, which adopts new model designs to improve long-horizon task performance while reducing activated parameters and token costs to one-third/one-fourth of Qwen3.7-Plus. **(3) Expansion to full multimodality**, spanning text, code, audio, video, graphics via Qwen3.8-Omni. **(4) Continued scaling**, with Qwen3.8-Max reaching 2.4T parameters (33x growth in two-years) and a roadmap toward Qwen4, Qwen4.5, Qwen5. Alibaba reaffirmed its open-source commitment, with >3bn cumulative downloads, 300k+ derivative models and 460+ official open-source releases.

Multimodality progress – Alibaba highlighted the industry is shifting toward multimodal AI, experience generation and next-generation productivity infrastructure. To support this trend, Qwen is accelerating omni-modal model development to enhance content complexity, interaction speed and cost efficiency. Alibaba's multimodal portfolio now spans **Qwen-Image** (image), **Wan/HappyHorse** (video), **HappyShrimp** (music) and **HappyOyster** (world model). At Apsara 2026, Alibaba launched **Qwen-Image-3.1** for commercial, creative, academic and consumer image generation and editing; upgraded **HappyShrimp-1.1** to support >100 music styles and 10+ languages; and unveiled **HappyOyster-2.0-Preview** with improved physical consistency, 3D memory, response speed. Looking ahead, video model **Wan/HappyHorse** is expected to receive its next major upgrade in November, supporting Alibaba's push towards agentic video generation and unified creative intelligence.

Alibaba Group Holding

Valuation

Our target price for Alibaba N-shares of US\$190 is based on 10x P/E on FY2027E Ecommerce group net profit, 7.0x P/S on FY2027E AI Cloud and Compute Services revenue, 5.0x P/S on AI Labs and Applications revenue, and 0.2x P/S on all other businesses. Our target multiples are benchmarked against comps. We also assign a 30% discount to net cash position, in-line with our SOTP for other internet peers. Our SOTP fair value comes to US\$190 per share.

Risks

Key downside risks that could prevent the shares from reaching our target price include: (i) failure in executing its new retail strategy; ii) investment spend and margins pressure become worse than expected; iii) slowdown of user traffic and online GMV and losing appeal to brands & merchants; iv) integration risks for newly acquired entities; v) slowdown of the Chinese and global economies and overhang of US-China or other trade disputes; and vi) regulatory risks on poor product quality and integrity of merchants.

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Appendix A-1

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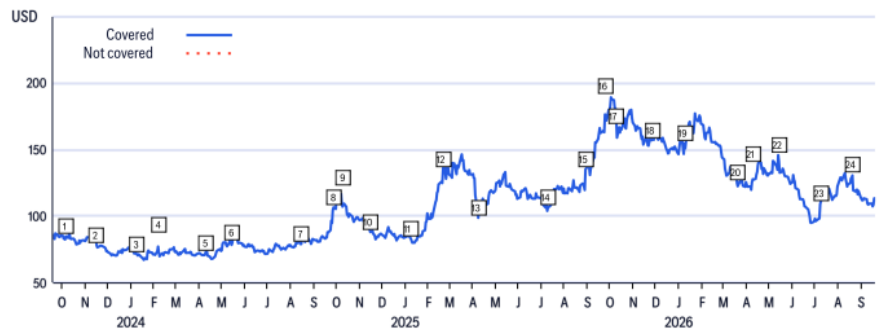
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Alibaba Group Holding (BABA)

Ratings and Target Price History
Fundamental Research

Analyst: Alicia Yap, CFA



Date	Rating	Target Price	Closing Price
1 08-Oct-23 17:09:43	1	*147.00	84.66
2 16-Nov-23 18:13:37	1	*142.00	77.82
3 09-Jan-24 13:40:44	1	*125.00	70.85
4 07-Feb-24 18:37:09	1	*126.00	72.44
5 09-Apr-24 18:25:26	1	*124.00	71.80
6 15-May-24 04:34:45	1	*122.00	79.67
7 15-Aug-24 16:50:03	1	*116.00	78.91
8 29-Sep-24 22:45:36	1	*136.00	106.48

*Indicates Change

Date	Rating	Target Price	Closing Price
9 09-Oct-24 09:54:52	1	*135.00	107.04
10 17-Nov-24 16:15:27	1	*133.00	87.89
11 09-Jan-25 17:58:55	1	*138.00	83.03
12 20-Feb-25 16:33:13	1	*170.00	134.90
13 08-Apr-25 05:01:59	1	*169.00	98.59
14 10-Jul-25 07:57:24	1	*148.00	106.64
15 31-Aug-25 17:30:14	1	*187.00	135.00
16 24-Sep-25 15:11:51	1	*217.00	176.44

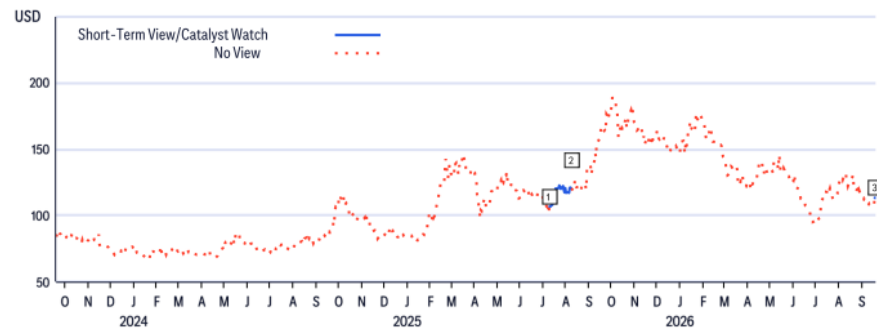
Date	Rating	Target Price	Closing Price
17 08-Oct-25 07:59:47	1	*218.00	181.12
18 25-Nov-25 16:54:34	1	*225.00	157.01
19 08-Jan-26 09:37:26	1	*197.00	154.47
20 19-Mar-26 16:25:38	1	*200.00	124.90
21 08-Apr-26 06:24:46	1	*205.00	125.32
22 13-May-26 16:47:38	1	*208.00	145.81
23 08-Jul-26 06:13:19	1	*192.00	108.98
24 20-Aug-26 17:54:18	1	*190.00	130.53

Rating/target price changes above reflect Eastern Time

Alibaba Group Holding (BABA)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



Date	Action	Expected Direction	Duration	Closing Price
1 10-Jul-25 03:57:24	Add STV	Downside	30 Days	106.64

CW - Catalyst Watch, STV - Short-Term View

Date	Action	Expected Direction	Duration	Closing Price
2 08-Aug-25 14:17:52	Remove STV	Downside	30 Days	120.36

Date	Action	Expected Direction	Duration	Closing Price
3 18-Sep-26 06:05:47	Add STV	Upside	30 Days	113.24

Rating/target price changes above reflect Eastern Time

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